

Laksh's Daily Brief — July 28, 2026

1. Top World, AI, Tech, and Market News

1.1 Fed Meeting Looms: Rates Held, but Guidance Uncertainty Roils Markets

The Federal Reserve's two-day policy meeting begins today, with markets pricing in a **99% chance of no rate change** ([Investopedia](#)). The key variable is Chair Kevin Warsh, who has scaled back forward guidance — the practice of signalling future rate moves. This increases "surprise potential" at the meeting ([Marketplace](#)). U.S. stocks ended mixed Monday, with the Dow eking out a gain as oil fell, while the broader market waits for the Fed and a deluge of tech earnings ([The Globe and Mail](#), [Reuters](#)).

1.2 Hyperscaler Earnings Preview: Google's Capex Sell-Off Sets the Tone

Amazon, Meta, and Microsoft report this week after Google's strong Q2 (cloud revenue beat, best-ever quarter) was **punished by investors** because Alphabet raised its 2026 capex forecast again ([Reuters](#)). The market is now skeptical of Big Tech's willingness to spend hundreds of billions on AI infrastructure without clear returns ([CNBC](#)). Some fund managers argue the market is misreading Alphabet's earnings — focus on earnings growth, not capex ([MarketWatch](#)). Meta's call is expected to highlight smart glasses, not social media policy ([CNBC](#)).

1.3 Optical Stocks Rout: Corning Tumbles 16%, Dragging Marvell, Coherent, Lumentum

Corning (GLW) reported earnings that disappointed investors, sending its stock down 16% and triggering a **wholesale sell-off in optical/networking names**. Marvell (MRVL), Coherent (COHR), Lumentum (LITE), and AXT were all down double digits ([CNBC](#)). This is a major supply-chain signal: optical components are critical for AI data-center interconnects, and the market is now worried about demand growth or pricing power. Watchlist names COHR (-11.8%), AAOI (-10.6%), LITE (-9.9%), MRVL (-6.5%), and CRDO (-6%) all plunged.

1.4 China's Domestic DUV Lithography Machines Enter Service — Samsung, SK Hynix Plunge

China has reportedly brought its own **DUV (deep ultraviolet) lithography machines** into commercial service, a direct challenge to ASML's monopoly. Samsung and SK Hynix shares fell sharply on the news ([Tech Times](#)). ASML is caught in the US-China squeeze, facing export controls that limit sales to China while Chinese alternatives emerge ([Reuters](#)). This directly hit watchlist memory stocks: MU (-8.7%), SNDK (-14%).

1.5 TSMC Expands US Investment by \$100 Billion, but Trump's Pressure Hits Margins

TSMC raised its Arizona investment to **\$265 billion** — the largest foreign direct investment in US history ([MarketWise](#)). However, President Trump's push to onshore advanced chip manufacturing is squeezing TSMC's margins, as US construction and labor costs are higher than in Taiwan ([CNBC](#)). TSMC stock fell 2% on the watchlist.

1.6 AI Circular Financing: Hyperscalers Tap Debt as Capex Outruns Cash Flow

Aggregate capex for the five hyperscalers is set to exceed **\$690 billion in FY26**, up 80% YoY ([FactSet](#)). Goldman Sachs predicts Big Tech will fund **more than a third of its AI investments with debt by 2027** ([Yahoo Finance UK](#)). "Circular financing" — where hyperscalers also rent capacity from neoclouds they fund — is growing, with Microsoft committing \$60B to CoreWeave, Nebius, etc. ([Capacity Global](#)). This raises concerns about leverage and sustainability.

1.7 EU Passes 21st Russia Sanctions Package — Targets Banks, Shadow Fleet, Crypto

EU ambassadors agreed on the **21st sanctions package** against Russia, including a price cap on Russian oil, restrictions on shadow fleet vessels, and a ban on crypto-asset transfers to Russian accounts ([Kyiv Independent](#), [DW](#), [Reuters](#)). This is part of ongoing economic warfare that affects energy markets and shipping.

1.8 Oil Prices Fall as Trump Claims "Deep Talks" with Iran

Brent and WTI crude fell for a third straight session after President Trump said **"deep talks" with Iran are underway** ([MarketWatch](#)). The US-Iran conflict had previously disrupted the Strait of Hormuz, but the pause in fighting is easing supply fears. Lower oil prices benefit stocks like airlines and consumer goods but hit energy producers.

1.9 Data Centers May Face Temporary Power Cuts on Largest US Grid

PJM Interconnection, the grid operator for 13 states, announced it may temporarily cut power to data centers to **prevent blackouts** during peak demand ([TechCrunch](#)). This is a direct consequence of the AI buildout straining grid capacity. A separate report shows data centers can dodge peak-power costs, shifting \$23 billion to households by 2028 ([The Cool Down](#)).

1.10 OpenAI Signs Open-Weights Letter, Coalition Grows to 35

OpenAI joined the "Open Weights and American AI Leadership" coalition, which it had skipped at launch. The signatory list now includes 35 organizations, including Microsoft, as the debate over open vs. closed AI models heats up ([FourWeekMBA](#)). This signals a shift in industry norms.

1.11 SpaceX Has Lost \$1.2 Trillion in Market Cap Since June High

SpaceX's stock has fallen from a high of \$225.64 per share in June, wiping out **more than \$1.2 trillion in market capitalization** — equivalent to a full Tesla ([CNBC](#)). The decline reflects concerns about valuation and the broader space-sector sell-off.

1.12 Nuclear Power "Bankable Again" as Tech Giants Fund Reactors

Microsoft, Google, Amazon, and Meta are directly financing nuclear projects, committing billions for **nearly 10 GW of capacity**. Microsoft is investing \$16 billion to restart Three Mile Island's sister reactor by 2027 solely for AI data centers ([Forbes](#)). This is a major theme for power stocks like CEG, VST, and NEE.

2. Infrastructure and Supply-Chain Logic

2.1 Optical Rout: The Vulnerability of AI Interconnects

The **Corning earnings miss** triggered a crash in optical networking stocks. Why does this matter? AI data centers connect thousands of GPUs using high-speed optical transceivers and fiber. Companies like Coherent (COHR), Lumentum (LITE), and Marvell (MRVL) supply these components. When Corning — a fiber giant — reports weak demand, the market infers that the entire **optical interconnect supply chain** is softening. This could mean either:

- Hyperscalers are pausing buildouts, or
- Competition is squeezing margins (e.g., from Chinese suppliers).

The sell-off is a **leading indicator**: if optical demand falters, GPU demand (NVDA, AMD) may follow. However, it could also be a temporary inventory correction. Watchlist stocks COHR (-11.8%), AAOI (-10.6%), LITE (-9.9%), MRVL (-6.5%), and CRDO (-6%) all reflect this.

2.2 China's DUV Lithography: A Threat to Memory and ASML's Dominance

China's domestic **DUV lithography machines** entering service is a seismic shift in the semiconductor supply chain. DUV lithography is used to make **DRAM and NAND flash memory** (SK Hynix, Samsung, Micron, Sandisk). Until now, the only supplier of advanced DUV tools was ASML (Netherlands), restricted by US export controls. If China can produce its own DUV machines, it can:

- Build memory chips **without relying on Western equipment**.
- Potentially flood the market with lower-cost memory, crushing margins for Korean and US makers.
- Reduce ASML's future revenue growth.

This explains why Samsung and SK Hynix shares plunged, and why MU (-8.7%) and SNDK (-14%) sold off. However, Chinese DUV tools are likely **less advanced** than ASML's — the immediate risk is more about sentiment than actual disruption. The second-order effect: if memory prices collapse, HBM (high-bandwidth memory) for AI could also get cheaper, which benefits Nvidia but hurts memory makers.

2.3 Circular Financing: The Debt-Fueled AI Buildout

HS and other hyperscalers are spending far more than their cash flows can support. The "**circular financing**" model works like this:

- Microsoft, Meta, etc. commit to **buying AI compute** from neocloud providers (CoreWeave, Nebius).
- Those neoclouds then **borrow heavily** to build data centers with Nvidia GPUs.
- Nvidia itself may **provide financing** to guarantee the deals (as in the rumored \$250B OpenAI arrangement).

Goldman Sachs now estimates that **one-third of AI investments will be funded by debt in 2027** ([

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